



ARIZONA HOUSE OF REPRESENTATIVES FLOOR AMENDMENT EXPLANATION

57th Legislature, 2nd Regular Session

Majority Research Staff

HCR2052: rates; fees; taxes; increases; moratorium

OLSON FLOOR AMENDMENT

1. States that the moratorium on municipal and county fees, taxes and utility rates does not apply to ad valorem taxes or special assessments levied to pay for:
 - a. the principal, interest and redemption charges on bonded indebtedness and other lawful long-term obligations;
 - b. property improvement assessment districts, improvement districts and other special purpose districts; and
 - c. the support of a school district. (Sec. 1, 3)
2. Excepts a municipality that has not raised utility rates by twelve percent or more in the prior four fiscal years from the moratorium but only allows an increase of more than that of inflation determined by the consumer price index. (Sec. 1)
3. Allows a municipality to adopt, impose or collect a new or increased rate or fee to fund the acquisition and delivery of new or additional water resources. (Sec. 1)

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3/10/2026

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OLSON FLOOR AMENDMENT
HOUSE OF REPRESENTATIVES AMENDMENTS TO H.C.R. 2052
(Reference to printed resolution)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

[~~GREEN STRIKEOUT IN BRACKETS~~] indicates new text removed from statute or previously enacted session law.

[~~Green strikeout in brackets~~] indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

<<~~Green strikeout in carets~~>> indicates a section removed from the bill.

1 The resolution as proposed to be amended is reprinted as follows:

2 1. Under the power of the referendum, as vested in the Legislature,
3 the following measure, relating to municipal and county fees, is enacted
4 to become valid as a law if approved by the voters and on proclamation of
5 the Governor:

6 AN ACT

7 AMENDING TITLE 9, CHAPTER 4, ARTICLE 8, ARIZONA REVISED
8 STATUTES, BY ADDING SECTION 9-500.54; REPEALING SECTION
9 9-500.54, ARIZONA REVISED STATUTES; AMENDING TITLE 11, CHAPTER
10 2, ARTICLE 4, ARIZONA REVISED STATUTES, BY ADDING SECTION
11 11-269.31; REPEALING SECTION 11-269.31, ARIZONA REVISED
12 STATUTES; RELATING TO MUNICIPAL AND COUNTY FEES.

13 Be it enacted by the Legislature of the State of Arizona:

14 Section 1. Title 9, chapter 4, article 8, Arizona
15 Revised Statutes, is amended by adding section 9-500.54, to
16 read:

17 9-500.54. Municipal fees: taxes: utility rates:
18 increase; moratorium; applicability;
19 enforcement; definitions

20 A. NOTWITHSTANDING ANY OTHER LAW, ORDINANCE, CHARTER
21 PROVISION OR RESOLUTION, BEGINNING JULY 1, 2026 THROUGH JUNE
22 30, 2030, A MUNICIPALITY MAY NOT ADOPT, IMPOSE OR COLLECT ANY
23 OF THE FOLLOWING:

24 1. A FEE THAT IS IN AN AMOUNT GREATER THAN THE AMOUNT
25 THAT IS AUTHORIZED IN THE FEE SCHEDULE THAT HAS BEEN ADOPTED
26 BY THE MUNICIPALITY AS PART OF THE MUNICIPALITY'S 2025-2026
27 FISCAL YEAR BUDGET, INCLUDING ANY FEE SCHEDULE THAT IS ADOPTED

1 BY AN ORDINANCE OR RESOLUTION OR THAT IS INCORPORATED BY
2 REFERENCE.

3 2. ANY TRANSACTION PRIVILEGE TAX OR SURCHARGE INCREASE
4 BEYOND THE RATE THAT IS IN EFFECT ON JUNE 30, 2026.

5 3. A RATE THAT IS IMPOSED FOR UTILITY SERVICE PROVIDED
6 BY THE MUNICIPALITY AND THAT IS GREATER THAN THE UTILITY RATE
7 THAT IS AUTHORIZED AS PART OF THE MUNICIPALITY'S 2025-2026
8 FISCAL YEAR BUDGET OR UTILITY RATE SCHEDULE[, EXCEPT THAT A
9 MUNICIPALITY THAT HAS NOT RAISED UTILITY RATES BY A CUMULATIVE
10 AMOUNT OF TWELVE PERCENT OR MORE IN THE PRECEDING FOUR FISCAL
11 YEARS MAY INCREASE UTILITY RATES BY AN AMOUNT THAT IS NOT MORE
12 THAN THE RATE OF INFLATION AS DETERMINED BY THE CONSUMER PRICE
13 INDEX AS PUBLISHED BY THE UNITED STATES DEPARTMENT OF LABOR,
14 BUREAU OF LABOR STATISTICS].

15 B. NOTWITHSTANDING ANY OTHER LAW, ORDINANCE, CHARTER
16 PROVISION OR RESOLUTION, BEGINNING JULY 1, 2026 THROUGH JUNE
17 30, 2030, A MUNICIPALITY MAY NOT ADOPT OR IMPOSE A NEW TAX
18 CLASSIFICATION OR EXPAND THE TAX BASE TO ADDITIONAL TAXPAYERS.

19 C. IF A MUNICIPALITY HAS NOT ADOPTED A CONSOLIDATED OR
20 COMPREHENSIVE FEE, TAX OR UTILITY RATE SCHEDULE AS PART OF THE
21 MUNICIPALITY'S 2025-2026 FISCAL YEAR BUDGET, THE APPLICABLE
22 FEE, TAX OR UTILITY RATE, FOR THE PURPOSES OF THE FEE, TAX OR
23 UTILITY RATE LIMITS PRESCRIBED IN SUBSECTION A OF THIS
24 SECTION, SHALL BE THE HIGHEST FEE, TAX OR UTILITY RATE THAT IS
25 IMPOSED BY THE MUNICIPALITY AT ANY TIME DURING THE 2025-2026
26 FISCAL YEAR.

27 D. A MUNICIPALITY MAY NOT CIRCUMVENT THIS SECTION BY
28 DOING ANY OF THE FOLLOWING:

29 1. RENAMING, RECLASSIFYING OR RESTRUCTURING A FEE, TAX
30 OR UTILITY RATE.

31 2. ALTERING METHODOLOGIES, ASSUMPTIONS, SERVICE AREAS,
32 CUSTOMER CLASSES OR COST-ALLOCATION PRACTICES.

33 3. IMPOSING A NEW CHARGE THAT IS SUBSTANTIALLY SIMILAR
34 IN EFFECT TO AN INCREASE IN A FEE, TAX OR UTILITY RATE THAT IS
35 PROHIBITED BY THIS SECTION.

36 4. ADOPTING OR AMENDING A FEE, TAX OR UTILITY RATE
37 SCHEDULE DURING THE 2025-2026 FISCAL YEAR FOR THE PRIMARY
38 PURPOSE OF AVOIDING THE APPLICATION OF THIS SECTION.

39 E. THIS SECTION APPLIES TO ALL MUNICIPAL FEES, TAXES
40 AND UTILITY RATES, REGARDLESS OF THE NAME OR TITLE, THAT ARE
41 IMPOSED AS A CONDITION OF ANY OF THE FOLLOWING:

42 1. CONDUCTING A TAXABLE TRANSACTION.

43 2. RECEIVING A GOVERNMENTAL SERVICE.

44 3. OBTAINING A PERMIT, LICENSE, APPROVAL OR INSPECTION.

45 4. CONNECTING TO OR RECEIVING MUNICIPALLY PROVIDED
46 UTILITY SERVICE.

1 5. DEVELOPMENT, CONSTRUCTION, OCCUPANCY, OPERATION OR
2 CHANGE IN USE.

3 F. THIS SECTION DOES NOT APPLY TO [ANY OF THE
4 FOLLOWING:

5 1.] AN INCREASE IN A MUNICIPAL TAX IF ALL OF THE
6 FOLLOWING APPLY:

7 ~~[1.][a)]~~ THE TAX INCREASE IS APPROVED BY THE QUALIFIED
8 ELECTORS OF THE MUNICIPALITY.

9 ~~[2.][b)]~~ AT LEAST SIXTY PERCENT OF THE VOTES CAST AT
10 THE ELECTION ARE CAST IN FAVOR OF THE MEASURE.

11 ~~[3.][c)]~~ THE ELECTION IS HELD ON A CONSOLIDATED
12 ELECTION DATE IN AN EVEN-NUMBERED YEAR PURSUANT TO SECTION
13 16-204.

14 [2. AD VALOREM TAXES OR SPECIAL ASSESSMENTS LEVIED TO
15 PAY THE PRINCIPAL OF AND THE INTEREST AND REDEMPTION CHARGES
16 ON BONDED INDEBTEDNESS OR OTHER LAWFUL LONG-TERM OBLIGATIONS
17 ISSUED OR INCURRED FOR A SPECIFIC PURPOSE.

18 3. AD VALOREM TAXES OR ASSESSMENTS LEVIED BY OR FOR
19 PROPERTY IMPROVEMENT ASSESSMENT DISTRICTS, IMPROVEMENT
20 DISTRICTS AND OTHER SPECIAL PURPOSE DISTRICTS OTHER THAN A
21 MUNICIPALITY OR COMMUNITY COLLEGE DISTRICT.

22 4. THE INITIAL ADOPTION OF A MUNICIPALITY'S TAX, FEE OR
23 UTILITY RATE STRUCTURE IF THE MUNICIPALITY WAS INCORPORATED
24 WITHIN THE TWO CALENDAR YEARS BEFORE THE EFFECTIVE DATE OF
25 THIS SECTION. THIS SECTION APPLIES TO THE MUNICIPALITY
26 DESCRIBED IN THIS PARAGRAPH AFTER THE MUNICIPALITY INITIALLY
27 ADOPTS THE TAX, FEE OR UTILITY RATE STRUCTURE.]

28 G. THIS SECTION DOES NOT PROHIBIT ANY OF THE FOLLOWING:

29 1. THE EXPIRATION, REDUCTION OR ELIMINATION OF A FEE,
30 TAX OR UTILITY RATE.

31 2. THE COLLECTION OF A FEE, TAX OR UTILITY RATE THAT IS
32 AT OR BELOW THE AMOUNT THAT IS AUTHORIZED PURSUANT TO
33 SUBSECTIONS A AND C OF THIS SECTION.

34 3. AN INCREASE IN TOTAL REVENUE THAT RESULTS SOLELY
35 FROM AN INCREASE IN SERVICE DEMAND, USAGE OR GROWTH IN THE TAX
36 BASE.

37 [4. THE ADOPTION, IMPOSITION OR COLLECTION OF A NEW OR
38 INCREASED RATE OR FEE PURSUANT TO SECTION 9-463.05 OR 9-511.01
39 TO FUND THE ACQUISITION AND DELIVERY OF NEW OR ADDITIONAL
40 WATER RESOURCES, INCLUDING THE COST OF ANY PREVIOUSLY INCURRED
41 OR FUTURE DEBT SERVICE OBLIGATIONS, NEEDED STORAGE, TREATMENT
42 OR DELIVERY INFRASTRUCTURE AND OPERATING AND MAINTENANCE
43 COSTS.]

44 H. A FEE, TAX OR UTILITY RATE ADOPTED, IMPOSED OR
45 COLLECTED THAT IS IN VIOLATION OF THIS SECTION IS VOID. A
46 MUNICIPALITY THAT ADOPTS, IMPOSES OR COLLECTS A FEE, TAX OR

1 UTILITY RATE THAT IS IN VIOLATION OF THIS SECTION IS SUBJECT
2 TO ENFORCEMENT PURSUANT TO SECTION 41-194.01.

3 I. A TAXPAYER, RESIDENT, BUSINESS OR PROPERTY OWNER
4 THAT IS AGGRIEVED BY A VIOLATION OF THIS SECTION MAY BRING AN
5 ACTION FOR DECLARATORY OR INJUNCTIVE RELIEF IN A COURT OF
6 COMPETENT JURISDICTION. THE COURT MAY AWARD REASONABLE
7 ATTORNEY FEES AND COSTS TO A PREVAILING PLAINTIFF.

8 J. FOR THE PURPOSES OF THIS SECTION:

9 1. "FEE" MEANS ANY CHARGE IMPOSED BY A MUNICIPALITY
10 THAT IS NOT A TAX OR UTILITY RATE, REGARDLESS OF THE NAME OR
11 TITLE.

12 2. "UTILITY SERVICE":

13 (a) MEANS MUNICIPALLY PROVIDED UTILITY SERVICES.

14 (b) INCLUDES WATER, WASTEWATER, STORMWATER, SOLID
15 WASTE, ELECTRIC, GAS OR SIMILAR SERVICES.

16 Sec. 2. Delayed repeal

17 Section 9-500.54, Arizona Revised Statutes, as added by
18 this act, is repealed from and after June 30, 2030.

19 Sec. 3. Title 11, chapter 2, article 4, Arizona Revised
20 Statutes, is amended by adding section 11-269.31, to read:

21 11-269.31. County fees; taxes; utility rates; increase;
22 moratorium; applicability; enforcement;
23 definitions

24 A. NOTWITHSTANDING ANY OTHER LAW, ORDINANCE, CHARTER
25 PROVISION OR RESOLUTION, BEGINNING JULY 1, 2026 THROUGH JUNE
26 30, 2030, A COUNTY MAY NOT ADOPT, IMPOSE OR COLLECT ANY OF THE
27 FOLLOWING:

28 1. A FEE THAT IS IN AN AMOUNT GREATER THAN THE AMOUNT
29 THAT IS AUTHORIZED IN THE FEE SCHEDULE THAT HAS BEEN ADOPTED
30 BY THE COUNTY AS PART OF THE COUNTY'S 2025-2026 FISCAL YEAR
31 BUDGET, INCLUDING ANY FEE SCHEDULE THAT IS ADOPTED BY AN
32 ORDINANCE OR RESOLUTION OR THAT IS INCORPORATED BY REFERENCE.

33 2. ANY TRANSACTION PRIVILEGE TAX OR SURCHARGE INCREASE
34 BEYOND THE RATE THAT IS IN EFFECT ON JUNE 30, 2026.

35 3. A RATE THAT IS IMPOSED FOR UTILITY SERVICE PROVIDED
36 BY THE COUNTY AND THAT IS GREATER THAN THE UTILITY RATE THAT
37 IS AUTHORIZED AS PART OF THE COUNTY'S 2025-2026 FISCAL YEAR
38 BUDGET OR UTILITY RATE SCHEDULE.

39 B. NOTWITHSTANDING ANY OTHER LAW, ORDINANCE, CHARTER
40 PROVISION OR RESOLUTION, BEGINNING JULY 1, 2026 THROUGH JUNE
41 30, 2030, A COUNTY MAY NOT ADOPT OR IMPOSE A NEW TAX
42 CLASSIFICATION OR EXPAND THE TAX BASE TO ADDITIONAL TAXPAYERS.

43 C. IF A COUNTY HAS NOT ADOPTED A CONSOLIDATED OR
44 COMPREHENSIVE FEE, TAX OR UTILITY RATE SCHEDULE AS PART OF THE
45 COUNTY'S 2025-2026 FISCAL YEAR BUDGET, THE APPLICABLE FEE, TAX
46 OR UTILITY RATE, FOR THE PURPOSES OF THE FEE, TAX OR UTILITY
47 RATE LIMITS PRESCRIBED IN SUBSECTION A OF THIS SECTION, SHALL

1 BE THE HIGHEST FEE, TAX OR UTILITY RATE THAT IS IMPOSED BY THE
2 COUNTY AT ANY TIME DURING THE 2025-2026 FISCAL YEAR.

3 D. A COUNTY MAY NOT CIRCUMVENT THIS SECTION BY DOING
4 ANY OF THE FOLLOWING:

5 1. RENAMING, RECLASSIFYING OR RESTRUCTURING A FEE, TAX
6 OR UTILITY RATE.

7 2. ALTERING METHODOLOGIES, ASSUMPTIONS, SERVICE AREAS,
8 CUSTOMER CLASSES OR COST-ALLOCATION PRACTICES.

9 3. IMPOSING A NEW CHARGE THAT IS SUBSTANTIALLY SIMILAR
10 IN EFFECT TO AN INCREASE IN A FEE, TAX OR UTILITY RATE THAT IS
11 PROHIBITED BY THIS SECTION.

12 4. ADOPTING OR AMENDING A FEE, TAX OR UTILITY RATE
13 SCHEDULE DURING THE 2025-2026 FISCAL YEAR FOR THE PRIMARY
14 PURPOSE OF AVOIDING THE APPLICATION OF THIS SECTION.

15 E. THIS SECTION APPLIES TO ALL COUNTY FEES, TAXES AND
16 UTILITY RATES, REGARDLESS OF THE NAME OR TITLE, THAT ARE
17 IMPOSED AS A CONDITION OF ANY OF THE FOLLOWING:

18 1. CONDUCTING A TAXABLE TRANSACTION.

19 2. RECEIVING A GOVERNMENTAL SERVICE.

20 3. OBTAINING A PERMIT, LICENSE, APPROVAL OR INSPECTION.

21 4. CONNECTING TO OR RECEIVING COUNTY-PROVIDED UTILITY
22 SERVICE.

23 5. DEVELOPMENT, CONSTRUCTION, OCCUPANCY, OPERATION OR
24 CHANGE IN USE.

25 F. THIS SECTION DOES NOT APPLY TO [ANY OF THE
26 FOLLOWING:]

27 1.] AN INCREASE IN A COUNTY TAX IF ALL OF THE FOLLOWING
28 APPLY:

29 [1-][a)] THE TAX INCREASE IS APPROVED BY THE QUALIFIED
30 ELECTORS OF THE COUNTY.

31 [2-][b)] AT LEAST SIXTY PERCENT OF THE VOTES CAST AT
32 THE ELECTION ARE CAST IN FAVOR OF THE MEASURE.

33 [3-][c)] THE ELECTION IS HELD ON A CONSOLIDATED
34 ELECTION DATE IN AN EVEN-NUMBERED YEAR PURSUANT TO SECTION
35 16-204.

36 [2. AD VALOREM TAXES OR SPECIAL ASSESSMENTS LEVIED TO
37 PAY THE PRINCIPAL OF AND THE INTEREST AND REDEMPTION CHARGES
38 ON BONDED INDEBTEDNESS OR OTHER LAWFUL LONG-TERM OBLIGATIONS
39 ISSUED OR INCURRED FOR A SPECIFIC PURPOSE.]

40 3. AD VALOREM TAXES OR ASSESSMENTS LEVIED BY OR FOR
41 PROPERTY IMPROVEMENT ASSESSMENT DISTRICTS, IMPROVEMENT
42 DISTRICTS AND OTHER SPECIAL PURPOSE DISTRICTS OTHER THAN A
43 COUNTY OR COMMUNITY COLLEGE DISTRICT.]

44 4. AD VALOREM TAXES LEVIED BY A COUNTY FOR SUPPORT OF A
45 SCHOOL DISTRICT.]

46 G. THIS SECTION DOES NOT PROHIBIT ANY OF THE FOLLOWING:

1 1. THE EXPIRATION, REDUCTION OR ELIMINATION OF A FEE,
2 TAX OR UTILITY RATE.

3 2. THE COLLECTION OF A FEE, TAX OR UTILITY RATE THAT IS
4 AT OR BELOW THE AMOUNT THAT IS AUTHORIZED PURSUANT TO
5 SUBSECTIONS A AND C OF THIS SECTION.

6 3. AN INCREASE IN TOTAL REVENUE THAT RESULTS SOLELY
7 FROM AN INCREASE IN SERVICE DEMAND, USAGE OR GROWTH IN THE TAX
8 BASE.

9 H. A FEE, TAX OR UTILITY RATE ADOPTED, IMPOSED OR
10 COLLECTED THAT IS IN VIOLATION OF THIS SECTION IS VOID. A
11 COUNTY THAT ADOPTS, IMPOSES OR COLLECTS A FEE, TAX OR UTILITY
12 RATE THAT IS IN VIOLATION OF THIS SECTION IS SUBJECT TO
13 ENFORCEMENT PURSUANT TO SECTION 41-194.01.

14 I. A TAXPAYER, RESIDENT BUSINESS OR PROPERTY OWNER WHO
15 IS AGGRIEVED BY A VIOLATION OF THIS SECTION MAY BRING AN
16 ACTION FOR DECLARATORY OR INJUNCTIVE RELIEF IN A COURT OF
17 COMPETENT JURISDICTION. THE COURT MAY AWARD REASONABLE
18 ATTORNEY FEES AND COSTS TO A PREVAILING PLAINTIFF.

19 J. FOR THE PURPOSES OF THIS SECTION:

20 1. "FEE" MEANS ANY CHARGE IMPOSED BY A COUNTY THAT IS
21 NOT A TAX OR UTILITY RATE, REGARDLESS OF THE NAME OR TITLE.

22 2. "UTILITY SERVICE":

23 (a) MEANS COUNTY-PROVIDED UTILITY SERVICES.

24 (b) INCLUDES WATER, WASTEWATER, STORMWATER, SOLID
25 WASTE, ELECTRIC, GAS OR SIMILAR SERVICES.

26 Sec. 4. Delayed repeal

27 Section 11-269.31, Arizona Revised Statutes, as added by
28 this act, is repealed from and after June 30, 2030.

29 Sec. 5. Severability

30 If a provision of this act or its application to any
31 person or circumstance is held invalid, the invalidity does
32 not affect other provisions or applications of the act that
33 can be given effect without the invalid provision or
34 application, and to this end the provisions of this act are
35 severable.

36 Sec. 6. Legislative findings and intent

37 A. The legislature finds that:

38 1. Arizona residents and businesses continue to
39 experience elevated inflation and rising costs, including
40 housing, utilities, construction, labor and essential
41 services, placing increased pressure on household budgets and
42 economic activity.

43 2. Local government taxes, fees and utility rates
44 materially affect affordability, business formation, housing
45 development and the overall cost of living throughout this
46 state.

1 3. Municipalities and counties regularly adopt annual
2 budgets, tax rates and fee and utility rate schedules, which
3 reflect policy judgments about reasonable and necessary
4 charges for services at a given point in time.

5 4. Advancements in technology, including artificial
6 intelligence and automation, present unprecedented
7 opportunities for local governments to streamline operations,
8 improve service delivery, increase productivity, and reduce
9 the need for ongoing growth in full-time staffing levels.

10 5. This state has recognized the importance of
11 operational efficiency, including through executive
12 initiatives such as the Arizona capacity and efficiency
13 initiative, which emphasizes identifying efficiencies,
14 modernizing operations and improving government performance,
15 recognizing potentially hundreds of millions of dollars in
16 cost savings that should be passed on to taxpayers.

17 6. Temporary restraint on local fee, tax and utility
18 rate increases encourages local governments to prioritize
19 efficiency, innovation and responsible fiscal management,
20 while preserving the ability to meet service demands through
21 improved processes and increased service volume.

22 7. Local governments retain discretion to manage
23 expenditures, staffing, service levels and capital planning
24 within existing fee, tax and utility rate structures during
25 the moratorium period.

26 B. It is the intent of the legislature to:

27 1. Provide temporary relief to residents and businesses
28 by stabilizing locally imposed fees, taxes and utility rates
29 during a period of elevated inflation and economic
30 uncertainty.

31 2. Encourage local governments to pursue efficiencies
32 and modernization before increasing costs borne by residents
33 and businesses.

34 3. Preserve predictability and transparency in local
35 government fee, tax and rate structures by anchoring charges
36 to duly adopted budgets and schedules.

37 4. Respect constitutional limitations, existing
38 contractual obligations and voter-approved authorities, while
39 promoting affordability and economic stability statewide.

40 Sec. 7. Short title

41 This act may be cited as the "Local Cost-of-Living
42 Protection Act".

43 2. The Secretary of State shall submit this proposition to the
44 voters at the next general election as provided by article IV, part 1,
45 section 1, Constitution of Arizona.

46 Enroll and engross to conform

House Amendments to H.C.R. 2052

1 Amend title to conform

JUSTIN OLSON

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03/11/2026
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